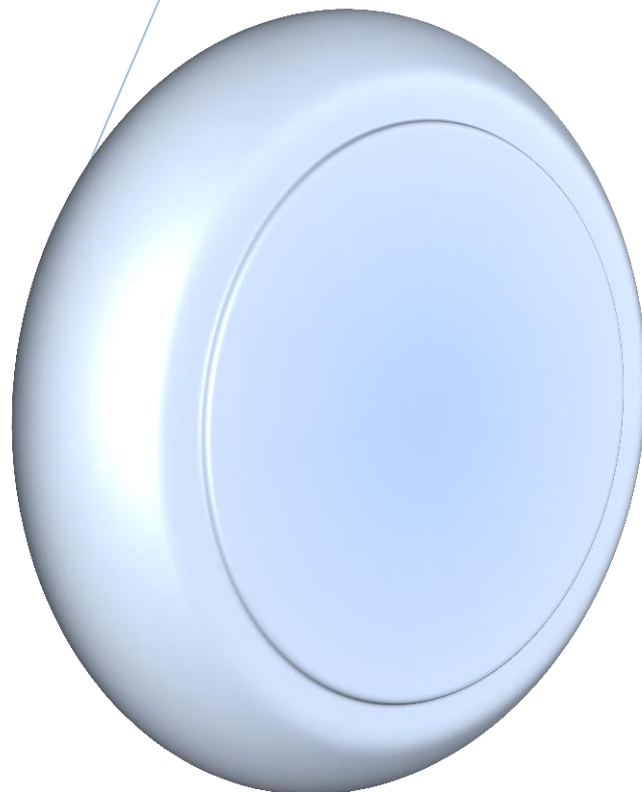


LAST MINUTE REVISION GUIDE

Balakumar.R.J



UNIT -1-

CONTENTS

- *Economic problem*
- *Choice & resource allocation*
- *Factors of production*
- *Opportunity cost*
- *Production possibility curve*

THE NATURE OF ECONOMIC PROBLEM

Scarcity: - The inability to satisfy unlimited wants using the limited resources.

Choice: - Selection of goods and services to satisfy human wants. This might be in terms of

- What to produce?
- How to produce?
- For whom to produce?

Opportunity cost: - The next best alternative forgone

So, the relationship between scarcity, choice and opportunity cost is the nature of economic problem

FACTORS OF PRODUCTION

Resources used for the production of goods and services to satisfy human wants

- Land
 - ✓ A natural resource used in the production process for the reward, rent.
 - ✓ For example water, coal, oil etc. land is occupationally mobile but geographically immobile.
- Labour
 - ✓ A human resource which includes human efforts of all types such as physical/mental, skilled/unskilled.
 - ✓ Labour is occupationally and geographically mobile.
 - ✓ For example farmer, doctor, teacher etc. Reward is wages/salary
 - ✓ Occupational mobility means movement of labour from one job to another whereas geographical mobility means movement of labour from one place to another.
- Capital
 - ✓ A man-made or manufactured resource used in the production such as Machinery, tools and equipment's.
 - ✓ Reward is interest
- Enterprise
 - ✓ The act of the entrepreneur (the person who do the tasks such as)
 - ✓ Taking risks and organizing all other factors of production for the reward of profit.

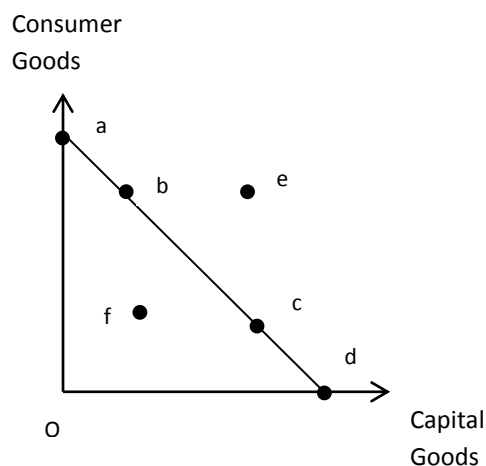
OPPORTUNITY COST

The next best alternative forgone

- For example, a person notes a list of event he would like to attend such as attending cinema as number 1 and visiting relatives as number 2. If he attended the cinema, the opportunity cost will be visiting relatives which he could attend instead of cinema.
- Opportunity cost is important for economists and resource allocation because it arise every time when there is a choice.
- It shows that if a resource is used for one purpose, it cannot be used for another purpose
- So, considering opportunity cost enables better allocation of resources and it reduces the wastage of resources.
- Opportunity cost is also important for;
 - ✓ Consumers:- when they want to buy something
 - ✓ Worker:- when they choose an occupation or when they leave an occupation
 - ✓ Government:- when they want to finance its expenditures using the limited tax revenue
 - ✓ Business: - when they want to decide what, how and for whom to produce?

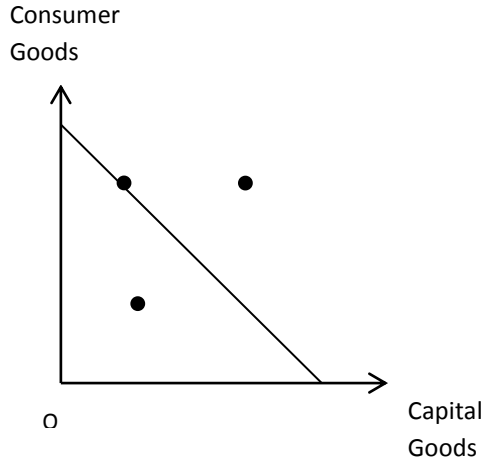
PRODUCTION POSSIBILITY CURVE

A curve which shows combinations of two goods a country can produce using its available resources and technology.



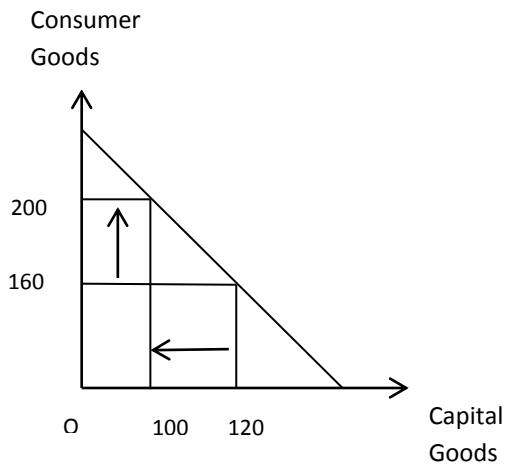
- ✓ *PPC can be drawn like a straight line as shown in the diagram as well as a curve.*
- ✓ *Point a shows all resources are used to produce consumer goods*
- ✓ *Point d shows all resources are used to produce capital goods*
- ✓ *Point b shows resources are used to produce both. But, more consumer goods than capital goods*
- ✓ *Point c shows resources are used to produce both. But, more capital goods than consumer goods*
- ✓ *Point e shows it's not possible to produce at that level in the short run*
- ✓ *Point f shows some resources are not used.*

- **PPC For resource allocation**



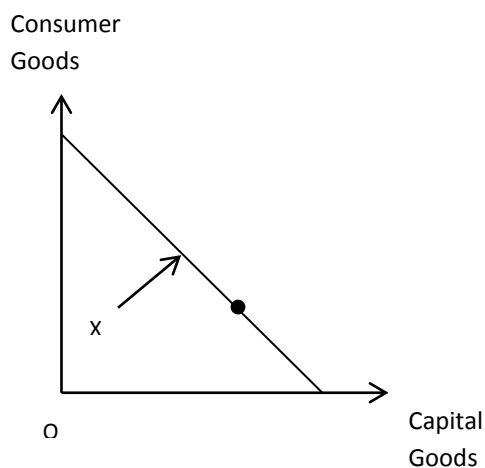
- Using a PPC we can explain resource allocation.
- For example, a country can allocate resources in 2 ways, i.e., producing either consumer or capital goods OR producing combination of both.
- The ultimate decisions will depend on the level of revenue and costs.

- **PPC For opportunity cost**



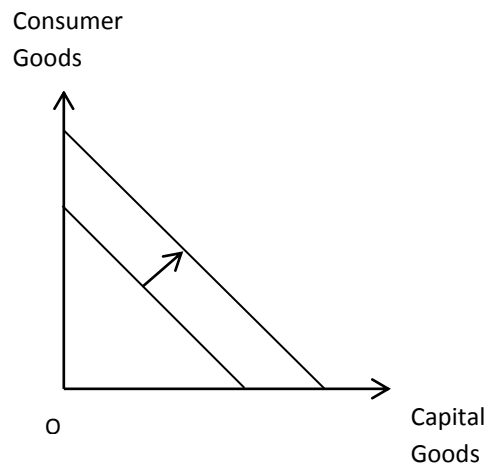
- Opportunity cost is the next best alternative forgone
- If the country decides to increase the production of consumer goods from 160 to 200, they have to reduce the production of capital goods from 120 to 100.
- So the opportunity cost of increasing consumer goods from 160 to 200 is 20 units of capital goods.

- **PPC For short run economic growth**



- Short run economic growth occurs when existing unused resources become active.
- This will be shown as a movement from any point inside the curve up to the curve.

- **PPC For Long run economic growth**



- Long run economic growth occurs when newly found resources increases the productive capacity of the country
- This will be shown as a shift of PPC to the right.
- Other reasons include improved education and technology.
- In contrast if resources of a country decline, PPC will move to the left.

UNIT -2- ALLOCATION OF RESOURCES; HOW MARKETS WORKS AND MARKET FAILURE

CONTENTS

- *Market and mixed economic system*
- *Demand and supply*
- *PED and PES*
- *Market failure*
- *Private and social costs and benefits*
- *Private and public expenditures*
- *Exploitation and conservation of resources*

MARKET ECONOMIC SYSTEM

An economic system where all the economic activities are owned and controlled by private individual and there is no government intervention

FEATURES OF MARKET ECONOMY

- Private property
- Freedom of choice
- Self-interest (profit motive)
- Price mechanism
- Limited role of government

ADVANTAGES OF MARKET ECONOMY

- More competition
- Lower prices and better quality
- Wide variety of choices
- Efficient allocation of resources
- Better methods of production
- consumer sovereignty

DISADVANTAGES OF MARKET ECONOMY

- No provision of public goods
- Under provision of merit goods
- Over provision of demerit goods
- Monopoly power
- Imperfect information
- Inequality
- Ignores social cost

MIXED ECONOMIC SYSTEM

An economic system where public and private sector exists side by side and operate for the welfare of the people.

FEATURES OF MIXED ECONOMY

- Both private and public sector exists
- Profit and welfare motive
- Price mechanism and price fixation
- Freedom of choice
- Major role of the government

ADVANTAGES OF MIXED ECONOMY

- Provision of public goods and merit goods by government
- Demerit goods controlled
- Monopoly power controlled
- Equality of incomes
- Private sector encouraged by profit motive
- Tax revenue for government
- Price mechanism and fixation helps both producers and consumers

DISADVANTAGES OF MIXED ECONOMY

- Heavy taxes reduce incentives to work hard or make profits
- Less efficient private sector can limit the choice
- Excessive control over business activity can add costs and discourage enterprise
- More government power can lead corruption

DIFFERENCE BETWEEN MARKET AND MIXED ECONOMY

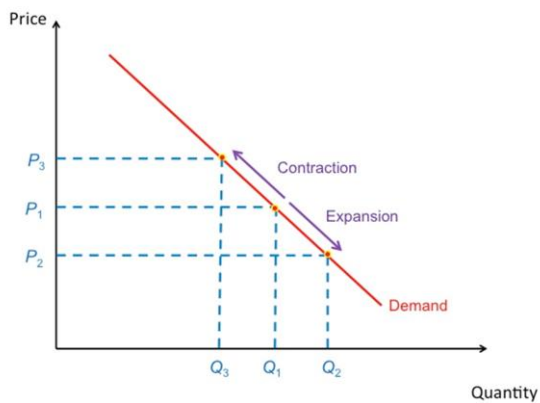
	MARKET ECONOMY	MIXED ECONOMY
Resource allocation	Private sector allocates resources	Private and public sector allocates resources
Motive	Profit motive only	Profit motive and welfare motive
Price	Price mechanism	Price mechanism with government control
Role of government	No or limited role	Major role of government

DEMAND

Demand is the desire, willingness and ability to buy a product. The law of demand is more will be demanded at lower price than higher price, other things remains constant.

FACTORS AFFECTING DEMAND FOR GOODS AND SERVICES

- Price of the product
- Income of the people
- Price of related goods (substitute goods and complementary goods)
 - ✓ Substitute goods are goods which can be used instead of others (Tea and Coffee)
 - ✓ Complementary goods are those goods which have joint demand(DVD and DVD player)
- Expected future price
- Taste and fashions
- Advertising
- Population



CHANGES IN DEMAND

- **Extension of demand:-** Increasing quantity demanded due to decreasing price
- **Contraction of demand:-** Decreasing quantity of demand due to increasing price.

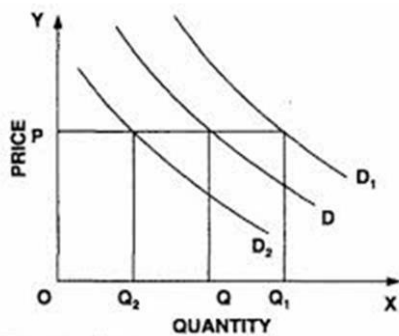


Fig. 2.3 (B) Increase/Decrease in Demand

CHANGES IN DEMAND

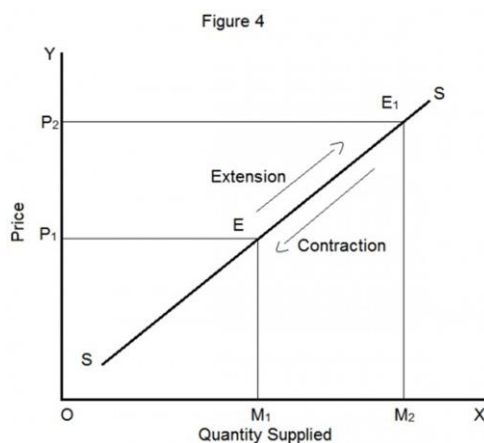
- **Increasing demand:-** Shift of demand curve to the right due to changes in non-price factor
- **Decreasing demand:-** Shift of demand curve to the left due to changes in non-price factor

SUPPLY

Supply is the total quantity of goods and services that a supplier is willing and able to sell at a given price. The law of supply is, more will be supplied at higher price than lower price, other things remains constant.

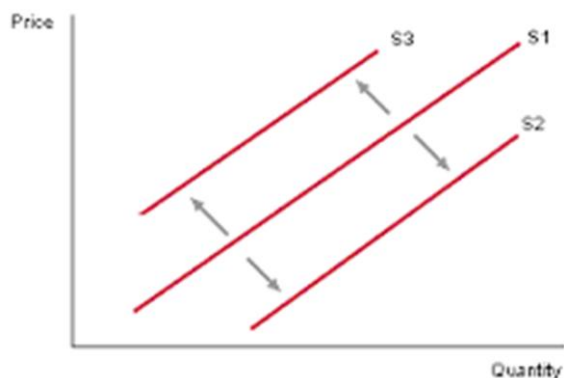
FACTORS AFFECTING SUPPLY OF GOODS AND SERVICES

- Price of the product
- Costs of production
- Improvement in technology
- Taxation(a compulsory payment imposed by government from the people and businesses)
- Subsidy (a financial assistance given by the government usually to domestic producer)
- Natural disasters and weather conditions
- Number of suppliers



CHANGES IN SUPPLY

- **Extension of supply:-** Increasing quantity supplied due to increasing price
- **Contraction of supply:-** Decreasing quantity supplied due to decreasing price.

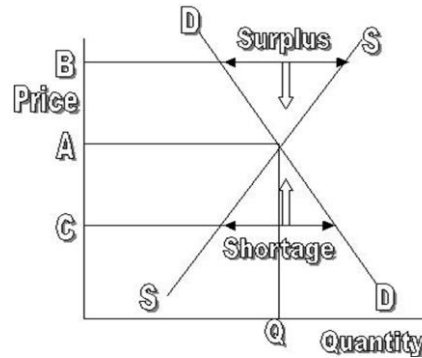
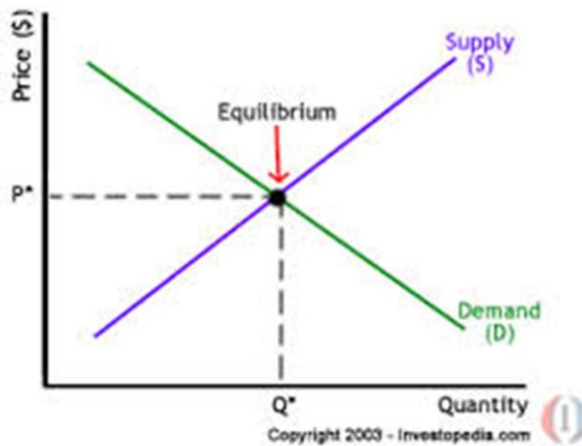


CHANGES IN SUPPLY

- **Increasing supply:-** Shift of supply curve to the right due to changes in non-price factor
- **Decreasing supply:-** Shift of supply curve to the left due to changes in non-price factor

EQUILIBRIUM PRICE AND DISEQUILIBRIUM PRICE

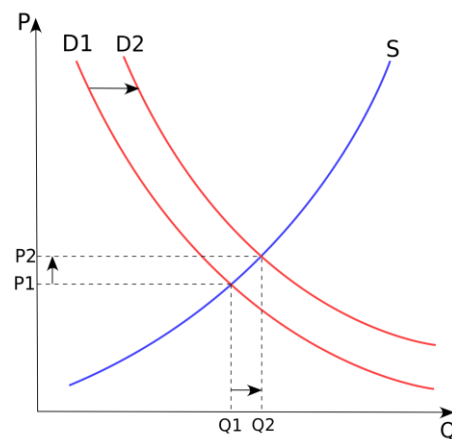
EQUILIBRIUM PRICE	DISEQUILIBRIUM PRICE
A price determined by market forces	Prices fixed by government (minimum and maximum price)
A price where demand and supply are equal	Prices where demand and supply are not equal
No shortages or surplus	Shortages exists when government fix maximum price and surplus exists when government fix minimum price
Minimum price:- A price fixed by government above the equilibrium price in order to help producers	
Maximum price:- A price fixed by government below the equilibrium price in order to help consumers.	



EFFECTS OF CHANGES IN DEMAND AND SUPPLY ON EQUILIBRIUM PRICE AND QUANTITY

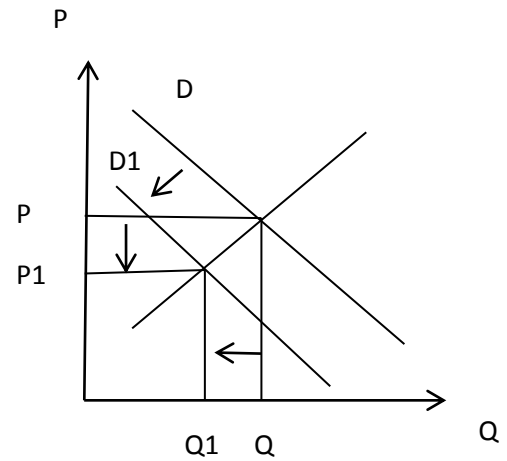
EFFECTS OF INCREASING DEMAND

- ✓ Increase price
- ✓ Increase quantity



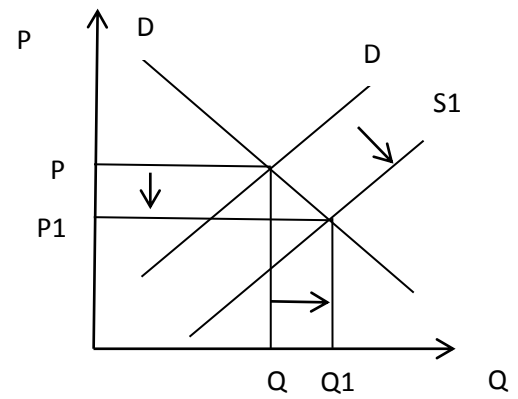
EFFECTS OF DECREASING DEMAND

- ✓ Decreasing price
- ✓ Decreasing quantity



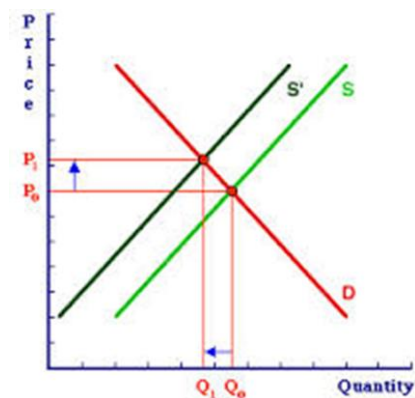
EFFECTS OF INCREASING SUPPLY

- ✓ Reduce price
- ✓ Increase quantity



EFFECTS OF DECREASING SUPPLY

- ✓ Increase price
- ✓ Decrease quantity



PRICE ELASTICITY OF DEMAND

The responsiveness of quantity of demand due to change in price. It can be calculated using a formula.

$$\text{Price elasticity of demand} = \frac{\% \text{ change in Quantity demanded}}{\% \text{ change in price}}$$

OR

$$\text{Price elasticity of demand} = \frac{\text{Change in Quantity}}{\text{Change in Price}} \times \frac{\text{Original price}}{\text{Original quantity}}$$

Example 1:- A price of rice increases from MVR 5 per kg to MVR 7 per kg. As a result, quantity demand decreases from 250 kg to 230 kg. Calculate the price elasticity of demand.

$$\text{Price elasticity of demand} = \frac{\% \text{ change in Quantity demanded}}{\% \text{ change in price}}$$

$$\% \text{ change in Quantity demanded} = \frac{250 - 230}{250} \times 100$$

$$\% \text{ change in Quantity demanded} = \frac{20}{250} \times 100 = 8$$

$$\% \text{ change in price} = \frac{5 - 7}{5} \times 100$$

$$\% \text{ change in price} = \frac{-2}{5} \times 100 = -40$$

$$\text{Price elasticity of demand} = \frac{8}{-40}$$

$$\text{Price elasticity of demand} = -0.2$$

OR

$$\text{Price elasticity of demand} = \frac{\text{Change in Quantity}}{\text{Change in Price}} \times \frac{\text{Original price}}{\text{Original quantity}}$$

$$\text{Price elasticity of demand} = \frac{250 - 230}{5 - 7} \times \frac{5}{250}$$

$$\text{Price elasticity of demand} = \frac{20}{-2} \times \frac{5}{250}$$

$$\text{Price elasticity of demand} = -0.2$$

Note that the value of price elasticity of demand is always negative. Because the law of demand states that increasing the value of price decreases the value of quantity and vice versa. **But when describing the elasticity, the negative sign is ignored.**

Example 2:- Calculate the price elasticity of demand when the price increases from 15 to 30.

PRICE	QUANTITY DEMANDED	QUANTITY SUPPLIED
10	250	35
15	230	60
30	170	95
45	50	120

$$\text{Price elasticity of demand} = \frac{\% \text{ change in Quantity demanded}}{\% \text{ change in price}}$$

$$\text{Price elasticity of demand} = \frac{26.07}{-100}$$

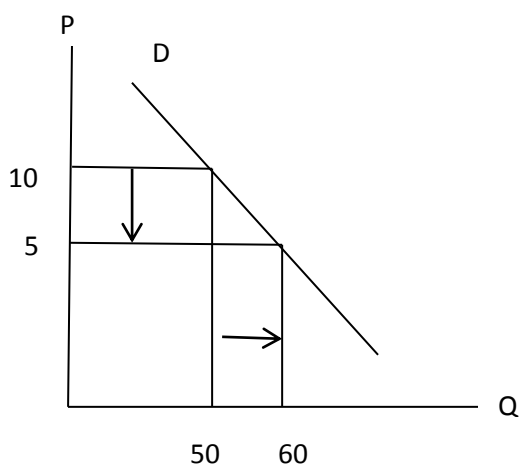
$$\text{Price elasticity of demand} = -0.3$$

$$\text{Price elasticity of demand} = \frac{\text{Change in Quantity}}{\text{Change in Price}} \times \frac{\text{Original price}}{\text{Original quantity}}$$

$$\text{Price elasticity of demand} = \frac{60}{-15} \times \frac{15}{230}$$

$$\text{Price elasticity of demand} = -0.3$$

Example 3:- Calculate the price elasticity of demand



$$PED = \frac{\% \text{ change in Quantity demanded}}{\% \text{ change in price}}$$

$$PED = \frac{-20}{50}$$

$$PED = -0.4$$

$$PED = \frac{\text{Change in Quantity}}{\text{Change in Price}} \times \frac{\text{Original price}}{\text{Original quantity}}$$

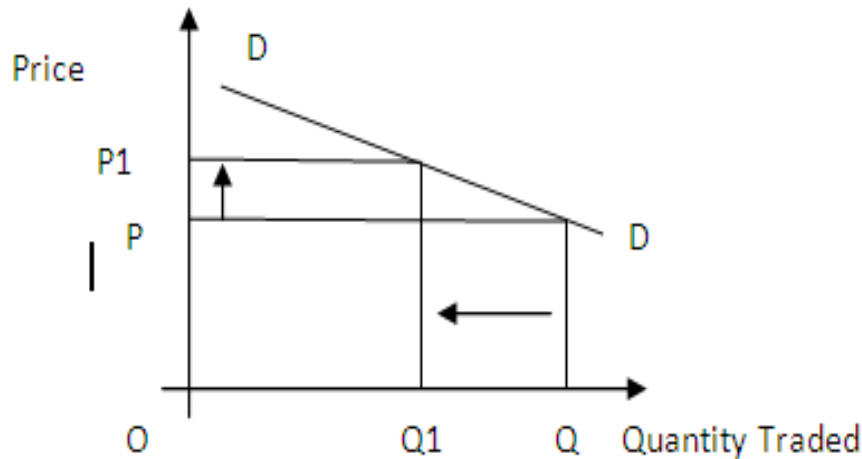
$$PED = \frac{-10}{5} \times \frac{10}{50}$$

$$PED = -0.4$$

TYPES OF PRICE ELASTICITY OF DEMAND

- Elastic demand [$P E D > 1$]

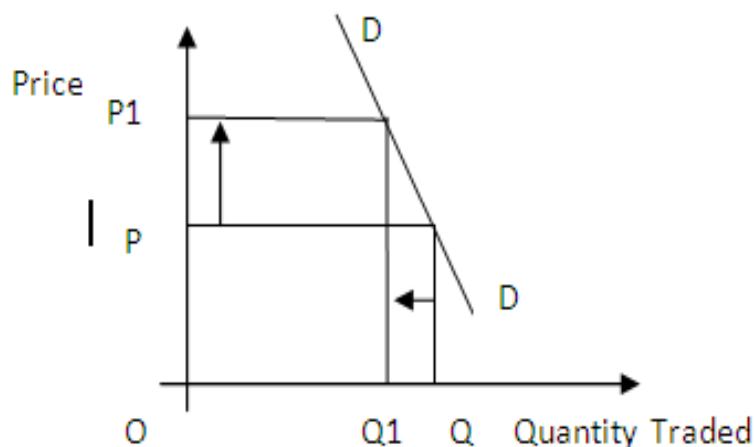
Percentage change in quantity demanded is more than the percentage in price. Elasticity is more than one. **Example:** Demand for Air conditioner is elastic. In this case firm's revenue will increase if there is a fall in its price.



When demand is price elastic a decrease in price would increase the revenue and rise in price would decrease the total revenue. So producers fix lower price if the demand is elastic.

- Inelastic demand [$P E D < 1$]

Percentage change in quantity demanded is less than the percentage change in price. Elasticity is less than one. **Example:** - The demand for petrol is inelastic. In this case firm's revenue will increase if there is a rise in price.



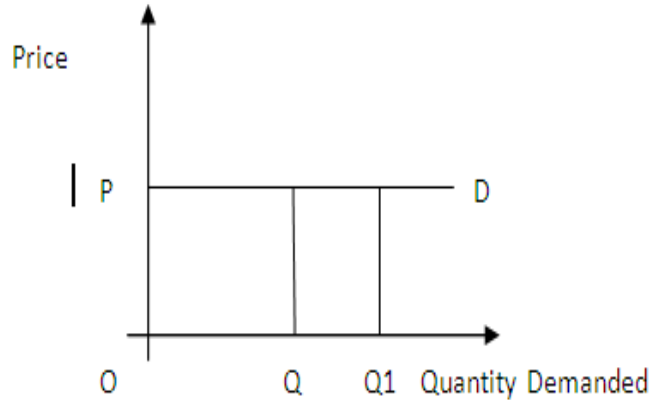
Demand curve takes a steep slope. Elasticity < 1

- When demand is price inelastic an increase in price would increase the revenue and a decrease in price reduces total revenue. So producers fix higher price for the goods which have inelastic demand in order to earn maximum revenue.

- **Perfectly (Infinitely) elastic [$P E D = \infty$]**

At the price O_p , people are prepared to buy all that they can obtain. They would buy an infinite amount if it were obtainable. Demand is said to be perfectly elastic. In this case, the more the individual firm produces the more revenue will be earned.

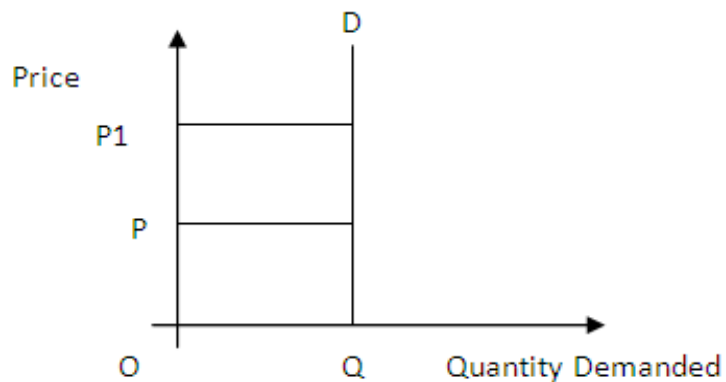
If producer set a price above the existing price the demand becomes zero.



Demand curve will be parallel to the X axis. Elasticity = ∞

- **Perfectly inelastic demand [$P E D = 0$]**

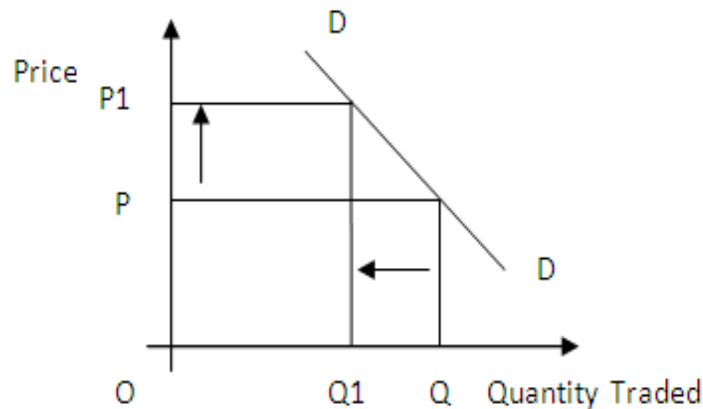
Demand is said to be perfectly inelastic when the quantity demanded does not respond to any change in price. The more the price rises, the bigger will be the level of consumer expenditure.



Demand curve will be parallel to the Y axis. Elasticity = 0

- **Unitary Elastic Demand [$P \times Q = 1$]**

Unitary elastic demand means percentage change in quantity demanded is equal to the percentage change in price. Elasticity is equal to one. In this case total consumer expenditure remains constant.



Demand curve will be rectangular hyperbola in shape. Elasticity = 1

When demand is unitary elastic, a rise in price or fall in price has no effect on total revenue

FACTORS AFFECTING PRICE ELASTICITY OF DEMAND

- Availability of substitutes
- Income spent on the goods
- Time period
- Habit forming goods
- Luxury or necessary good

PRACTICAL IMPORTANCE OF PRICE ELASTICITY OF DEMAND

- Helpful to Producers
- Important to Monopolists
- Helpful to the government
- Important in international trade
- Consumer expenditure

PRICE ELASTICITY OF SUPPLY

The term price elasticity of supply refers to the way in which the quantity supplied responds to a change in price. In other words it is the rate of change or responsiveness in supply due to change in price

$$\text{Elasticity of supply} = \frac{\text{percentage change in quantity supplied}}{\text{percentage change in price}}$$

-OR-

$$PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}}$$

$$\% \text{ change in } QS = \frac{\text{Original } QS - \text{New } QS}{\text{Original } QS} \times 100$$

$$\% \text{ change in price} = \frac{\text{Original price} - \text{New price}}{\text{Original price}} \times 100$$

OR

$$PES = \frac{\frac{Q_1 - Q_2}{Q_1} \times 100}{\frac{P_1 - P_2}{P_1} \times 100}$$

TYPES OF PRICE ELASTICITY OF SUPPLY

- Elastic Supply [P E S > 1]
- Inelastic supply [P E S < 1]
- Perfectly elastic supply [P E S = ∞]
- Perfectly inelastic supply [P E S = 0]
- Unitary elastic supply [P E S = 1]

FACTORS AFFECTING PRICE ELASTICITY OF SUPPLY

Supply is elastic when firms can easily and quickly change the amounts supplied in response to a change in price. Supply is inelastic when the quantity supplied cannot be easily and quickly changed when price changes. Following factors determine the elasticity of supply.

- Whether or not there is any excess capacity
- Storage facilities
- Availability of resources
- The level of stocks
- Manufactured goods and agricultural products

USEFULNESS OF PRICE ELASTICITY OF SUPPLY

- A supplier will be willing to supply more into the market when prices are higher. This is because they can generate more revenue.
- A good's supply tends to be elastic if it can be supplied easily into the market and inelastic if it cannot be easily supplied into the market.
- So, a producer has to try to find some ways to make those goods which have inelastic supply to elastic.
- This can be done through storage facilities, excess capacities and easy supply of raw materials. As a result, the firm can sell more and generate more revenue.

MARKET FAILURE

This occurs when the market economy fails to allocate the resources efficiently

REASONS FOR MARKET FAILURE

- No provision of public goods
- Under provision of merit goods
- Over provision of demerit goods
- Monopoly power
- Imperfect information
- Inequality
- Ignores social costs

GOVERNMENT INTERVENTION TO CORRECT MARKET FAILURE

- Taxation
- Subsidies
- Regulation

PRIVATE AND SOCIAL COSTS AND BENEFITS

- **PRIVATE COST:** - This is the cost to an individual or to a firm regarding an economic activity. Eg. Cost of buying cigarettes, illness caused by cigarettes.
- **PRIVATE BENEFIT:** - This is the benefit to an individual or to a firm regarding an economic activity. Eg, salary gained by teaching
- **EXTERNAL COST:-** This is the cost or negative effects to third parties other than producers and consumers regarding an activity Eg illness and smell to non-smokers due to smoking
- **EXTERNAL BENEFIT:** - This is the benefit or positive effects to third parties other than producers and consumers regarding an activity. Eg. Jobs available
- **EXTERNALITIES:** - It can also be defined as the effects to third parties.
- **SOCIAL BENEFIT:** - Social benefits include the sum of private benefits and external benefits. Eg benefits to the country of having high qualified and educated citizens.
- **SOCIAL COST:** - Social costs are the sum of private cost and external costs. Eg pollution and global warming due to factories and cancer and other dangerous diseases caused due to smoking

PRIVATE EXPENDITURES AND PUBLIC EXPENDITURES

	PRIVATE EXPENDITURES	PUBLIC EXPENDITURES
ADVANTAGES	• High quality • Efficiency • Fast and accurate services	• Cheap • Everyone can benefit • Inequality reduces
DISADVANTAGES	• Expensive • Everyone cannot afford • Inequality rises	• Lower quality • Opportunity costs

EXPLOITATION AND CONSERVATION OF RESOURCES

	EXPLOITATION	CONSERVATION
ADVANTAGES	• Employment and income • Economic growth • Living standard • Better allocation of resources	• Positive environmental impact • Future employment, income and economic growth
DISADVANTAGES	• Environmental impact • Fall in future growth, employment and income due to lack of resources	• Slow down current rate of growth • Fall in employment and income • Fall in current living standard.

UNIT -3-

CONTENTS

- *Functions of money, commercial banks, central banks and stock exchange*
- *Labour market and trade unions*
- *Division of labour*
- *Income spending saving and borrowing*
- *Business organization*
- *Demand for factors of production*
- *Labour intensive and capital intensive*
- *Production and productivity*
- *Costs and revenue*
- *Profit maximization and other goals*
- *Market structures*
- *Size of firms*
- *Integrations*
- *Economies and diseconomies of scale*

MONEY

FUNCTIONS OF MONEY	CHARACTERISTICS OF MONEY
• Medium of exchange • Measure of value (unit of account) • Store of value • Standard for deferred payment	• Acceptability • Durability • Portability • Divisibility • Scarcity

BANKING AND STOCK EXCHANGE

FUNCTIONS OF COMMERCIAL BANKS	FUNCTIONS OF CENTRAL BANKS	FUNCTIONS OF STOCK EXCHANGE
• Accepting deposits (current account, saving account and fixed deposit accounts) • Making Payments (cheques, credit card, debit card, standing order, direct debit, foreign exchange, ATM, Giro credit etc.) • Lending money (loans and overdraft)	• Issuing notes and printing money • Bankers bank • Banker to government • Set interest rate • Control money supply • Lender of last resort	• Enable individual to buy and sell shares • Enable business to buy and sell shares • Enable government to raise finance through issuing securities • Enable business expansion eg integration and takeover. • Shows country's economic performance

LABOUR MARKET

FACTORS AFFECTING

DEMAND FOR LABOUR	SUPPLY OF LABOUR
• Wages • Productivity • Demand for product (derived demand) which means factors are demanded due to high demand for goods • Education and skill level	• Wages • Working population • Total population • Other wage and non-wage influence

INDIVIDUAL CHOICE OF OCCUPATION

WAGE FACTORS	NON-WAGE FACTORS
• Basic pay • Overtime • Bonus • Commission • Piece rate/time rate	• job satisfaction • type of work/working conditions • working hours • size of the firm • career prospects/opportunity for promotion • fringe benefits • number/length of holidays • pension scheme • job security • location of job/distance and time to travel

CHANGES IN EARNINGS FOR AN INDIVIDUAL OVER THEIR LIFE TIME

- Entry to the work force, wages usually low
- Skilled , experience, promotion will increase wage
- End of career or with retirement, wages fall

DIFFERENCE IN EARNINGS

DIFFERENT GROUP OF WORKERS	REASONS FOR THE DIFFERENCE
Skilled vs Unskilled	• Skilled workers are greater in demand compared with unskilled workers which push up their wages. • Skilled workers are less in supply compared with unskilled workers which may again push up their wages. • Skilled workers are more productive compared with unskilled workers.
Male vs Female	• Male workers receives higher wages than female on average • Female workers are less productive on an average (due to maternity break) • Some occupations, female workers are high in demand such as modeling, cabin crew. • In some occupations, supply of female workers is higher- for example in Maldives, Teaching and nursing.
Public vs Private sector	• Differences in demand and supply may cause difference in wages- for example in some countries, government demand more of the workers and in other occupations, supply of workers in private sectors are high.

	• Job securities in both sector might make a difference • Overtime and job satisfaction in both sectors might make a difference. • Relative strength of trade union in one sector might make a difference • Skills needed and training period might make a difference • Type of work in different sector might make a difference.
Primary vs Secondary vs Tertiary sector	• In primary sectors, wages are lower since the level of training required is relatively less. • Level of output and income from primary production is also less • Secondary sector occupation receives higher wages than primary because level of training required is more • The demand for the secondary work is also high because secondary productions are greater than primary production. • Secondary jobs are subject to different payment scheme such as piece rates which might push up their wages. • However, tertiary occupation receives higher wages on average compared with secondary because secondary jobs are repetitive. • Tertiary occupations receives higher wages because level of training and demand for services are now a days higher than any other sector. • However, type of work, relative trade union strength can also make a manufacturing worker receiving a higher wage compared with a tertiary sector worker.
GENERALLY	• Demand and supply • Education and training • Risky jobs • Special talents • Payment scheme • Trade union power

TRADE UNION

An association of workers formed to protect and promote the interest of their members mainly through collective bargaining.

Collective bargaining is the official negotiations between trade union officials and employer.

FUNCTIONS OF TRADE UNION	• they exist to protect the interests of their members • gain appropriate wage/salary increases; idea of collective bargaining • job security • working conditions/health and safety • dismissal/redundancy • Possible influence on government at national level.
WHY SOME NOT BELONG TO A TRADE UNION?	• union doesn't exist in a particular line of work • person is self-employed • cost of annual fee/subscription is expensive • worker doesn't agree with views/actions of union • employees are satisfied with their pay and working conditions

	• They are illegal in some countries.
ADVANTAGES TO THE WORKER	• a trade union will provide a worker with more collective strength • this could be helpful in negotiating wage rises • improvements in worker conditions • a trade union may provide a member with a range of other benefits , e.g. training/ subsidized part-time education courses • in some countries trade unions provide members with unemployment benefits • a trade union may influence a government , e.g. to increase a minimum wage which workers can benefit from
DISADVANTAGES TO THE WORKER	• the trade union(s) in a particular industry may not be very powerful especially if membership is low • finance is limited • the cost of membership may be expensive • there may be difficulties in being a trade union member in some countries/some governments discourage trade union membership • industrial action can be disruptive • a worker may not receive an income while on strike • a worker may lose her/his job as a result of industrial action
ADVANTAGES TO THE FIRM	• may encourage more workers to apply for jobs as they may expect better working conditions/job security • Reduce the cost of negotiations • Provides a channel of communication • Promote training • Help to reduce conflicts
DISADVANTAGES TO THE FIRM	• May push up the wages and total cost • May reduce flexibility • May take industrial action
ADVANTAGES TO THE /GOVERNMENT ECONOMY	• Improve pay and living standard of workers • Reduce government cost of regulating the labour market
DISADVANTAGES TO THE /GOVERNMENT ECONOMY	• Create unemployment • Create inflation • Reputation problems • Revenue of firms decrease

DIVISION OF LABOUR

A technique of breaking down the production into a large number of specialized tasks

ADVANTAGES	DISADVANTAGES
• Increased productivity • Saving time • More employment • Automation • Practice makes perfect	• Monotony and boredom • Loss of other skills • Risk of unemployment

INCOME SPENDING, SAVING AND BORROWING

Types of Income

- **Original income:** - The total amount of money earned by an individual from all the sources.
- **Disposable income:** - The total income left for spending and saving after all deductions such as income tax, insurance, pension etc. are deducted and social security benefits are added.
- **Real income:** - The purchasing power of money income which means the total quantity of goods and services money income can buy.

REASONS FOR SPENDING	• Disposable income • Credit facilities • Lower interest rates • Education and health • Inflation and expected future price
REASONS FOR SAVING	• Higher interest rates • Disposable income • A fear that income may fall in future • Higher education • Future purchase • Unforeseen expenses
REASONS FOR BORROWING	• Lower income • Financial difficulties • Spending beyond their means • Lower interest rates on borrowing • Immediate purchases • Ability to repay • Able to provide more security • Needs money for a short period of time

INCOME AND EXPENDITURE PATTERN

LOWER INCOME EARNERS	HIGH INCOME EARNERS
• Spends most of their income, some people spend all. • Spends a high % of their income on food and basic necessities. • Spends less % of their income on luxuries and entertainment • Save very less % of their income. But some lower income earners cannot save. • Though they spend a high % of income on food, actual income spend will always be less compared with rich.	• Spends a low % of their income on food and basic necessities. But actual amount spend will be more. • Spends more % of their income on luxuries and entertainment • Can save a high % of their income. • Though they spend a less % of income on food, actual income spend will always be more compared with poor

BUSINESS ORGANISATION

Private sector: - A part of the economy where all the economic activities are owned and controlled by private individuals

Public sector: - A part of the economy where all the economic activities are owned and controlled by government.

Nationalization:- changing the ownership of a business from private sector to government.

Privatization :- changing the ownership of a business from government to private sector

SOLE TRADER

FEATURES	ADVANTAGES	DISADVANTAGES
- Any business that is owned & controlled by one person. - They do not have separate legal entity from its owner. - Sole trader has unlimited liability. - Profits and losses of the business are borne by the owner. - Sole trader finds very easy to start the business.	- Firms are usually small, and easy to set up - Generally a small amount of capital is needed to commence - The wage bill is usually low since less employee - It is easier to keep overall control - Sole trader receives all the profits	- Sole trader has no one to share responsibility - Sole trader often work long hours & difficult to take holidays - Expansion is difficult since limited capital - Risk of unlimited liability - Sole trader receives all the profits. Similarly he or she will receives all the losses also

PARTNERSHIP

FEATURES	ADVANTAGES	DISADVANTAGES
- Businesses owned by two or more people - A contract called 'deed' is usually drawn up - Partners has unlimited liability - Profits and losses are shared by the partners - Capital is usually larger than sole trader	- Partnership has shared responsibility - Capital is more since the maximum limit for the partners are 20 - Better ideas can be brought by the discussion among partners - There is less time pressure on individual partners - Better administration and financial system than sole traders.	- Partners have unlimited liability - There can be disputes among partners - The distribution of profits can cause problems - There could be difficulties if one partner dies - Individual partners do not have control on the business

PRIVATE LIMITED COMPANIES

FEATURES	ADVANTAGES	DISADVANTAGES
- The company name must display the word pvt ltd. - The company is not allowed to advertise about its shares in the stock exchange - The shares are not sold to stock exchange, but they sell shares to their friends and family members - There is no minimum value of shares that have to be sold when starting the company - These are usually smaller than public limited companies	- The liability of the shareholders is limited - The company has separate legal existence from management & owners - The employees also can buy shares - The company continues despite the death of any shareholders - They have to pay less corporation tax than plc's	- Capital is less than public limited since they can't quote their shares in the stock exchange - They can't issue shares to general public - The shares are not freely transferable - Divorce of ownership and control may create conflicts. - Setting up requires much legal formalities

Formation of companies

- Promoters** with the help of a **lawyer** submit two documents (**memorandum of association & articles of association**) to registrar of companies
- Memorandum of association** includes external information of the company and **articles of association** includes internal information
- Statutory declaration** is issued by the registrar which indicates that the documents are true
- After that **certificate of incorporation** is issued to start the business. However, public limited companies should obtain **certificate of trading**.

PUBLIC LIMITED COMPANIES

FEATURES	ADVANTAGES	DISADVANTAGES
- Company must display plc ltd after its name - Company must be registered with the registrar of companies - They have to obtain the certificate of trading to sell shares to general public - Shares are freely transferable and they can quote in the stock exchange - Shareholders have limited liability	- Shares can be advertised and sold in the stock exchange - Shares are freely transferable - Shareholders have limited liability - Cheaper and easy borrowings and bulk buying - Capital is larger than private limited companies	- Decision take longer and there can be disagreement - Profits are shared among number of people - Published accounts have to be prepared - Expenses are high when setting up the company - They might experience difficulty in management

COOPERATIVE SOCIETIES

FEATURES	ADVANTAGES	DISADVANTAGES
• These are voluntary associations formed by group of members • Any person who is interested can become a member • One member has one vote irrespective of his or her shares • Profits are distributed among members according to the share capital • Members select a management committee to control the business • Consumer cooperatives, producer cooperatives are some of the types.	• The formation is very simple compared to other companies • Life of the co-operative society is not affected by the life of its members • The liability is limited • Membership is open to any body • Government usually provides assistance to co-operative societies	• The amount of capital is limited • Management problems can arise due to lack of talent • There can be disputes among members • They usually depend on government • Lack of motivation

PUBLIC CORPORATION

FEATURES	ADVANTAGES	DISADVANTAGES
• The public corporation is owned by government • Corporation are managed by board of directors appointed by government • The primary motive of the corporation is public service rather than private profits. It is, however, expected to operate in a business-like manner. • Its initial capital are provided by government • It can sue and be sued and can enter into contracts in its own name.	• No interference from the government for the day to day running • It enjoys flexibility • It can, therefore, maintain continuity of policy and operations. • A public corporation can employ professional managers • The special law by which by which it is created can be tailor made to meet the specific needs of the particular situation.	• It is very difficult and time-consuming to set up a public corporation because a special law has to be passed in the Parliament. • It is very difficult to change the objects and powers because the special law has to be amended by the Parliament or the State legislature. • There are frequent debates and discussions on the reports and working of public corporations • Emphasis on service motive and lack of incentive may further reduce the profitability of operations.

MULTINATIONALS

FEATURES	ADVANTAGES OF BEING	ADVANTAGES TO HOST	DISADVANTAGES TO HOST
• Companies that operate and produce in different countries • Headquarters in one country • Usually large public limited companies • Sell shares to general public through stock exchange	• Reduce transport cost • Avoid trade barriers • Easy and cheap labour and land • Huge profits	• Employment • Increase export and favourable BOP • Economic growth • Tax revenue • Transfer of technology	• Social cost • Profits taken back to home • Few employment opportunities for locals • If they leave, a huge disadvantage to the economy • Disrupt local business

DEMAND FOR FACTORS OF PRODUCTION

- Demand for the final goods
- Price of each factor
- Price of the final good

LABOUR INTENSIVE AND CAPITAL INTENSIVE

- Using more labours than machines in the production process is known as labour intensive
- Using more machines than labours in the production process is known as capital intensive

PRODUCTION AND PRODUCTIVITY

- Any activity designed to satisfy human want is production
- Measure of efficiency of production is productivity

COSTS AND REVENUE

COSTS/REVENUE	MEANING	DIAGRAM
FIXED COST	Costs of fixed factors which do not changes with the output such as rent, insurance etc.	
VARIABLE COST	Costs of variable factors which changes with the output such as wages, electricity etc.	
TOTAL COST	Sum of fixed and variable cost $TC = FC + VC$	
AVERAGE FIXED COST	The total fixed cost per unit $AFC = TFC / OUTPUT$	
AVERAGE VARIABLE COST	The total variable cost per unit $AFC = TVC / OUTPUT$	
AVERAGE COST	The total cost per unit. $AC = TC / OUTPUT$	
TOTAL REVENUE	Total money received from sales $TR = \text{Price} \times \text{quantity}$	
AVERAGE REVENUE	Revenue received from each unit. $AR = TR / OUTPUT$	
PROFIT	The positive difference between total revenue and total cost $PROFIT = TR - TC$	
AVERAGE PROFIT	Profit received from each units $AP = TP / OUTPUT$	
BREAKEVEN	A point of no profit or loss $TR = TC$	

PROFIT MAXIMISATION

A principle of increasing the total profit by maximizing the difference between total cost and total revenue.

OTHER BUSINESS GOALS

- Growth
- Sales
- Survival
- Welfare
- Charities

MARKET STRUCTURES

PERFECT COMPETITION		
CHARACTERISTICS	ADVANTAGES	DISADVANTAGES
• Many buyers and sellers • Selling homogenous products • Perfect knowledge • No barrier to entry • Price taker • Profit can be made in the short run, normal profit ($TR=TC$) in the long run	• Lower prices • More competition • Higher output • Responsive to consumers demand • Innovative • Perfect knowledge	• Limited choice of goods • Not able to experience economies of scale • No profits in the long run • Might not be innovative compared with a monopoly

MONOPOLY		
CHARACTERISTICS	ADVANTAGES	DISADVANTAGES
• Single supplier of a good/service • Price maker • Huge barriers to entry • Abnormal and supernormal profits	• Larger firm • Economies of scale • Possible lower prices • High quality goods • Innovation • Huge tax revenue	• Usually higher prices • Limited supply • May not improve the quality • Influence government

DIFFERENCES BETWEEN

MONOPOLY	PERFECT COMPETITION
• Single supplier • Price maker • Not homogenous products • No perfect knowledge • Huge barriers to entry • Supernormal profit	• Many sellers • Price taker • Homogenous products • Perfect knowledge • No barrier to entry • Normal profit

FIRMS

HOW TO MEASURE SIZE

- Market share/ Level of profit
- Type of business
- Capita
- Employees

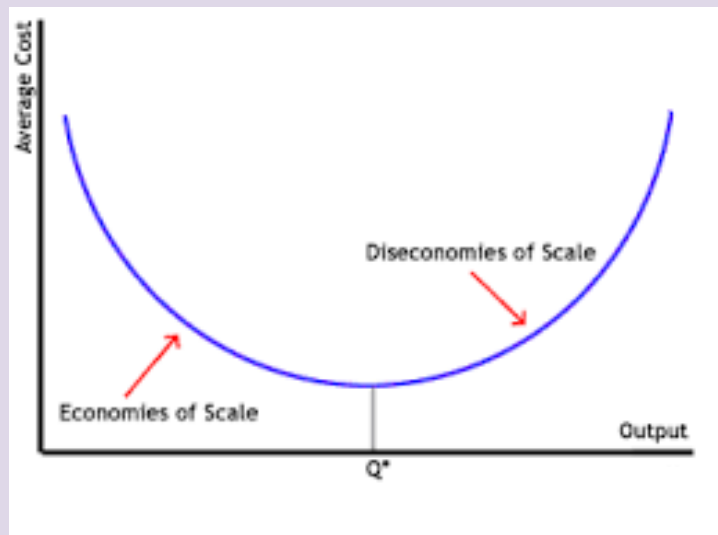
WHY FIRMS GROW?	HOW FIRMS GROW?	SMALL FIRMS
• to earn more profit • to enjoy economies of scale • to obtain more market share • security	✓ Internal Growth:- Firm expand its existing production without joining to another firm • Issuing shares • Retained profits • Opening new branch • Advertising ✓ External Growth: - Firm expand its production by a merger/integration or take over. • Takeover is an acquisition of majority shares of another company • Merger/integration is joining together of two firms to become one.	• Limited demand • Flexibility • Owners wish • Specialist series • Personal services

INTEGRATION

HORIZONTAL	VERTICAL	LATERALL/CONGLOMERATE
• Joining together of two firms in the same stages of production. For example joining to two banks. • Can spread the risk and increase output • Costs can be reduced • Higher profits can be achieved.	• Joining together of firms in different stages of production. • There are two types of vertical integration namely vertical forward and back ward • Vertical forward means joining together of one firm to another firm which is in the later stage of production • For example an oil extracting factory buys a petrol station • Vertical backward means joining together of one firm to another firm which is in the earlier stage of production • For example an oil refining factory buys another factory extracting oil • This ensures control over market and suppliers.	• Joining together of two firms producing entirely different products • For example a restaurant buys a bookshop

ECONOMIES AND DISAONOMIES OF SCALE

ECONOMIES OF SCALE	
Advantages of large scale production which results due to lower average costs	
Internal economies of scale Advantages which results due to the growth of the firm • Technical • Managerial • Financial • Marketing/commercial • Risk bearing	External economies of scale Advantages which results due to the industrial growth • Easy supply of raw materials • Skilled labours • Established institution • Specialist services
Internal diseconomies of scale Disadvantages which results due to the growth of the firm • Difficult to manage • Communication problems • Technical problems • Lack of motivation	External diseconomies of scale Disadvantages which results due to the industrial growth • Congestion • Increased price of raw materials, transport etc.



RETURNS TO SCALE

- **INCREASING RETURNS TO SCALE**
When inputs are doubled, output is more than doubled
- **DECREASING RETURNS TO SCALE**
When inputs are doubled, output is less than doubled
- **CONSTANT RETURNS TO SCALE**
When inputs are doubled, output is constant